

Power Grid Corporation of India Ltd

Nifty 100 Company Tearsheet | POWERGRID

Energy | Power Grid Corporation of India Limited is a Maharatna CPSU and India's largest electric power transmission company. GoI holds a 51.34% stake in the company as on March 31, 2021. PGCIL was incorporated in 1989 to set up extra-high voltage alternating current and high-voltage direct current (HVDC) transmission lines. The company moves large blocks of power from the central generating agencies and areas that have surplus power to load centres within and across regions. It is under the administrative control of the Ministry of Power, GoI. PGCIL also executes several strategically important projects, assigned to the company by GoI on nomination basis. Power Grid Corporation of India is principally engaged in planning, implementation, operation and maintenance of Inter-State Transmission System (ISTS), Telecom and consultancy services.

ROE

17.9%

ROCE

18.9%

Debt / Equity

1.42

Revenue CAGR 5Y

1.9%

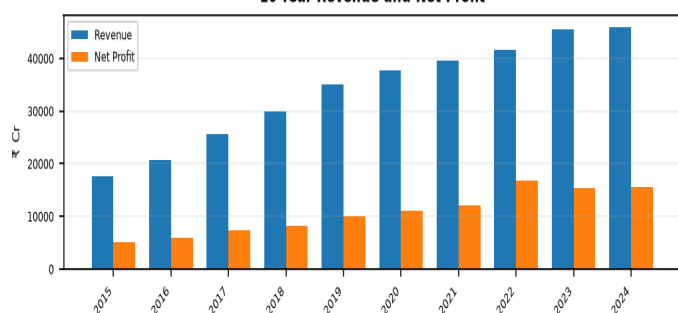
PAT CAGR 5Y

-1.5%

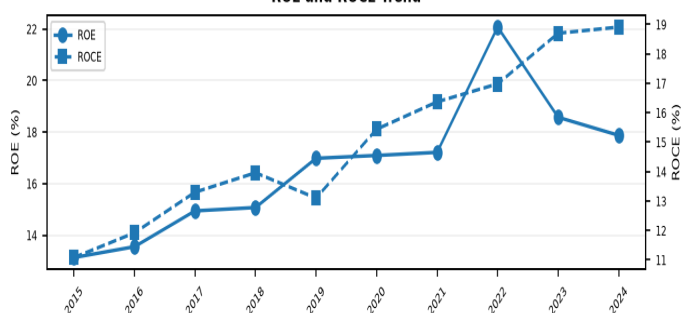
Free Cash Flow

■24,176 Cr

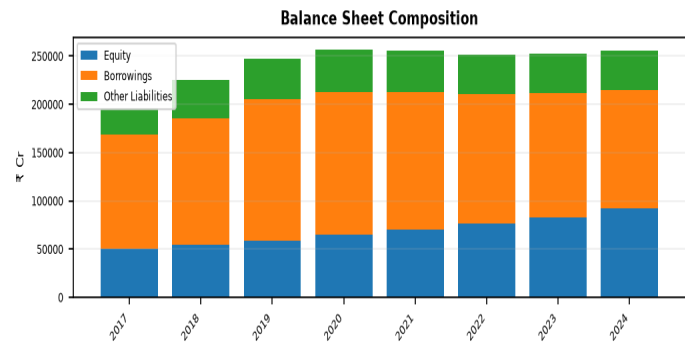
10-Year Revenue and Net Profit



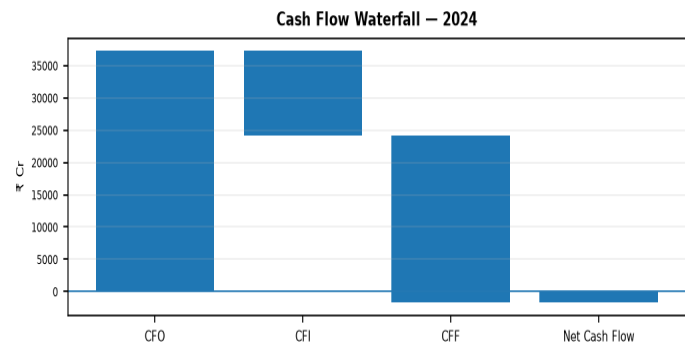
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Reinvestor